Video 3: Live Valuation and Committee Ask

Oladapo Olaniyan | FIN-43900 Project 1 | Recording target: 4:35-5:00

Use this on your phone while recording. Read one block at a time and follow the green SHOW or SWITCH cue. Show only the project files on your computer.

Before you start

Order	Show on your computer	What to say
1	01-live-valuation-output.html	Live scenarios, forecast, FCFF, and valuation bridge
2	01-live-valuation-output.html	Sensitivity, reverse DCF, and downside case
3	01-live-valuation-output.html	Peer lenses and committee ask

Script

SHOW 1 - 01-live-valuation-output.html

Hi, I am Oladapo Olaniyan. This is my live PepsiCo valuation output and my committee recommendation. My recommendation is to watch the company and defer initiating a position today. The recorded October 5 market price is $125.65 per share, while my base DCF value is $117.29 per diluted-proxy share. That gap does not automatically mean the stock is overpriced, but it means the current evidence does not give me a sufficient margin of safety.

STAY ON 01-live-valuation-output.html - SCROLL TO SCENARIOS

The three main DCF scenarios are low, base, and high. They produce values of $76.12, $117.29, and $170.22 per share. These are conditional model outcomes, not probability-weighted price targets. Each outcome changes operating and valuation assumptions together, so I use the range to understand what would have to go right or wrong instead of pretending that one exact number describes the future.

STAY ON 01-live-valuation-output.html - SCROLL TO INPUTS AND FORECAST

This section shows the main inputs, five-year forecast, free cash flow to the firm, and valuation bridge. The base case uses a 7.66 percent WACC and 2.5 percent terminal growth rate. The forecast links revenue, operating margin, taxes, capital spending, and working capital to FCFF. FCFF is the cash available to all capital providers after operating investment, which is why it is discounted using WACC to estimate enterprise value before moving to equity value per share.

STAY ON 01-live-valuation-output.html - SCROLL THROUGH THE FORECAST

The operating forecast assumes gradual revenue growth and margin improvement. I treat those as analyst assumptions rather than company facts. The model also carries capital spending and working-capital investment through the forecast, because revenue growth alone does not create value if it requires too much reinvestment. The bridge then adds cash and selected nonoperating assets and subtracts debt and noncontrolling interest to move from enterprise value to the common equity value used for the per-share result.

STAY ON 01-live-valuation-output.html - SCROLL TO VALUE RESET FAILURE

This is the Value Reset Failure scenario. It combines weaker revenue growth, lower gross margin, higher SG&A;, and longer receivable and inventory days. Those pressures reduce operating profit and FCFF, then create funding needs as the cash balance falls. The point is to test how a connected operating problem travels through the income statement, cash flow, and valuation. It is a modeled downside case, not a claim that PepsiCo will default.

STAY ON 01-live-valuation-output.html - SCROLL TO SENSITIVITY AND REVERSE DCF

The sensitivity grid changes WACC and terminal growth, two assumptions that matter a great deal because terminal value is 80.1 percent of enterprise value in the base case. A high terminal-value share means long-run assumptions carry substantial weight. The reverse DCF gives a different view of the market price. Holding the other model inputs fixed, reaching the recorded price requires about 0.85 percentage points more EBIT margin across the forecast years. That is one conditional path, not the market's uniquely identified forecast.

STAY ON 01-live-valuation-output.html - SCROLL TO PEERS

I also included peer lenses for Coca-Cola and Mondelez. They are useful reference points but remain qualified because the peer inputs have comparability limits, including accounting conventions, dated balances, and differences in the earnings measures. I do not average the peer outputs with the DCF into one target because the methods answer different questions. Combining them without a consistent policy would create false precision.

STAY ON 01-live-valuation-output.html - CLOSE

My committee ask is to defer entry and monitor revenue growth, operating margins, cash conversion, debt, and payout decisions in future releases. I would reconsider after a reviewed current-date bridge and verified improvement in margins and cash flow, or if the share price gives a defensible margin of safety relative to supported value. If margins erode, cash conversion weakens, or downside funding becomes insufficient, I would not initiate. This concludes my live valuation and recommendation.

After recording

Watch the recording once. Make the transcript from what you actually said, then correct only material finance terms, names, and numbers.